

The Coase theorem

Suppose that John takes up the trombone and his neighbour Jack can't stand the din. The trombone gives pleasure to John, but imposes a cost on Jack. This cost isn't reflected in the market and so John isn't made to face the full cost to society of his hobby. Economists say that John creates a negative externality. In 1960, economist Ronald Coase proposed a theorem suggesting that markets can solve the problem.

Suppose that the pleasure from the trombone is worth £1,000 to John, and the annoyance to Jack is equivalent to £2,000. Jack could pay John £1,500 to stop playing. Both John and Jack are made better off. This assumes that John had an initial right to play the trombone. It could be that Jack has the right to peace and quiet, in which case John could attempt to pay him to allow trombone playing. In either case, the theorem says that parties should be able to bargain their way to a solution. In reality, however, the theorem might not work: bargaining is often too costly to bring a solution.

